
Introduction to China's Financial System

LECTURE 10 FOREIGN EXCHANGE MARKETS

Foreign exchange

- Foreign exchange refers to foreign currency and securities in foreign currency.
- Foreign exchange in China refers to the following means of payment and assets expressed in foreign currencies that can be used for international settlement:
 - (1) Foreign currencies, including banknotes, and coins;
 - (2) Foreign currency payment certificates, including bills, bank deposit certificates;
 - (3) Foreign currency securities, including government bonds, corporate bonds, stocks, etc.;
 - (4) Other foreign exchange assets.
 - (5) For country level, Special Drawing Rights, is a potential claim on the freely usable currencies.
- A foreign exchange market is a market in which traders can trade currencies.
 - These transactions can involve cash transactions between currencies of different countries, as well as futures, options and other financial derivatives transactions between various currencies.

Foreign exchange control

- Most developed market economies have free convertibility, or full convertibility, between their currencies and foreign exchange:
 - Domestic currency can be converted into foreign exchange within the country; Foreign exchange can be carried out or remitted abroad.
 - Domestic currency can be imported and exported freely.
 - Foreign exchange can be brought in and remitted and converted into domestic currency freely.
 - Both residents and non-residents can hold foreign exchange.
- Full convertibility does not mean the absence of foreign exchange control.
 - E.g., no matter how freely convertible countries and regions are, they are usually not allowed to mark and circulate foreign currencies in daily transactions, except in specific tourist spots.
- In a country (such as China) that implements foreign exchange control, the local currency of the country is either completely inconvertible or not fully convertible.

Foreign exchange control in China

- After 1949 and before 1979, strict foreign exchange control has been implemented for a long time; The RMB is a completely non-convertible currency.
 - During this period, foreign trade was **monopolized by the state** and foreign exchange was uniformly managed by the Bank of China.

Foreign exchange control in China

- From 1979, it broke the central monopoly in the foreign trade system and expanded the right of local governments and enterprises to conduct foreign trade.
 - Foreign Exchange **Retention System**: After fulfilling the task of handing in foreign exchange to the state, enterprises could retain a certain proportion of foreign exchange quotas to meet their own foreign exchange needs for imports and other purposes.
 - Establishment of the **Foreign Exchange Adjustment Market**: Enterprises were allowed to buy and sell foreign exchange quotas through the foreign exchange adjustment market to adjust the surplus and shortage, enabling a more rational allocation of foreign exchange resources.
 - **Relaxation of Foreign Exchange Control on Individuals**: Chinese citizens, foreign expatriates in China could retain a portion of the foreign exchange remitted from foreign countries, instead of having to sell all of it to the banks.

Foreign exchange control in China

- In 1994, the foreign exchange management system underwent a major reform:
 - The "**bank foreign exchange settlement and sale system**" was implemented: the foreign exchange earnings of all domestic organizations must be repatriated to China in time for settlement and sale to designated foreign exchange banks; The foreign exchange required for external payment under current account can be purchased with RMB as long as valid certificates are held.
 - It greatly raised the standard of foreign exchange supply and expanded the scope of foreign exchange supply for the private use of foreign exchange by individual domestic residents, which is **50 thousand USD a year per person**.
- By the end of 1996, the convertibility of RMB under current account was realized.

Foreign exchange control in China

- Currently, China has implemented relatively strict controls on the capital account and the RMB has not yet achieved free convertibility.
- There is no fixed timetable for the capital account convertibility.

Exchange rates

- The rate at which currencies are converted between countries is called the exchange rate. It is the relative value between two currencies.
- The form of exchange rate: the "price" of a unit of currency of another country expressed in one country's currency.
- There are two ways to express (quote) an exchange rate:
 - Direct quotation
 - Indirect quotation

Exchange rate quotation methods

- Direct quotation
 - It refers to the exchange rate of other countries' currencies using the domestic currency as the base currency.
 - 1 USD =7.2 RMB, where RMB is the base currency and USD is the currency to be expressed.
 - China uses the direct quotation method.

Exchange rate quoted by BOC

(RMB: 100 foreign currency)

Country Name	Currency Name	Buying Rate	Cash Buying Rate	Selling Rate	Cash Selling Rate	Middle Rate	Pub Time
United Arab Emirates Dirham (AED)	AED	196.92	196.92	199.7	199.7	196.66	2024.12.13 16:43:51
Australian Dollar (AUD)	AUD	461.73	461.73	465.4	465.4	460.61	2024.12.13 16:43:51
Brazilian Real (BRL)	BRL		115.5		128.74	121.25	2024.12.13 16:43:51
Canadian Dollar (CAD)	CAD	510.22	510.22	514.22	514.22	508.74	2024.12.13 16:43:51
Swiss Franc (CHF)	CHF	812.2	812.2	818.48	818.48	809.69	2024.12.13 16:43:51
Danish Krone (DKK)	DKK	101.82	101.82	102.64	102.64	101.39	2024.12.13 16:43:51
Euro (EUR)	EUR	759.82	759.82	765.39	765.39	756.75	2024.12.13 16:43:51
British Pound (GBP)	GBP	916.68	916.68	923.49	923.49	915.78	2024.12.13 16:43:51
Hong Kong Dollar (HKD)	HKD	93.51	93.51	93.89	93.89	92.44	2024.12.13 16:43:51
Indonesian Rupiah (IDR)	IDR	0.045	0.045	0.046	0.046	0.0457	2024.12.13 16:43:51
Indian Rupee (INR)	INR		8.142		9.0782	8.5666	2024.12.13 16:43:51
Japanese Yen (JPY)	JPY	4.7405	4.7405	4.7772	4.7772	4.7421	2024.12.13 16:43:51
South Korean Won (KRW)	KRW	0.5038	0.5038	0.5125	0.5125	0.5065	2024.12.13 16:43:51
Macau Pataca (MOP)	MOP	90.78	90.78	91.2	91.2	89.7	2024.12.13 16:43:51
Malaysian Ringgit (MYR)	MYR	162.95		164.42		162.66	2024.12.13 16:43:51
Norwegian Krone (NOK)	NOK	65.07	65.07	65.59	65.59	64.72	2024.12.13 16:43:51
New Zealand Dollar (NZD)	NZD	417.98	417.98	421.13	421.13	417.81	2024.12.13 16:43:51
Philippine Peso (PHP)	PHP	12.34	12.34	12.58	12.58	12.47	2024.12.13 16:43:51
Russian Ruble (RUB)	RUB	6.82	6.82	7.17	7.17	6.92	2024.12.13 16:43:51
Saudi Riyal (SAR)	SAR	192.48	192.48	195.2	195.2	192.22	2024.12.13 16:43:51
Swedish Krona (SEK)	SEK	65.92	65.92	66.44	66.44	65.62	2024.12.13 16:43:51
Singapore Dollar (SGD)	SGD	537.95	537.95	542	542	536.16	2024.12.13 16:43:51
Thai Baht (THB)	THB	21.27	21.27	21.45	21.45	21.34	2024.12.13 16:43:51
Turkish Lira (TRY)	TRY	19.38	19.38	22.3	22.3	20.68	2024.12.13 16:43:51
New Taiwan Dollar (TWD)	TWD		21.48		23.54	22.33	2024.12.13 16:43:51
United States Dollar (USD)	USD	727.02	727.02	730.08	730.08	718.76	2024.12.13 16:43:51
South African Rand (ZAR)	ZAR	40.62	40.62	41.09	41.09	40.58	2024.12.13 16:43:51

Source: official website of Bank of China

Exchange rate quotation methods

- Direct quotation
 - It refers to the exchange rate of other countries' currencies using the domestic currency as the base currency.
 - 1 USD = 7.2 RMB, where RMB is the base currency and USD is the currency to be expressed.
 - China uses the direct quotation method.
- Indirect quotation
 - It refers to the exchange rate of the domestic currency using other countries' currencies as the base currency.
 - 1 euro = £0.83, where the euro is the currency to be expressed and the pound is the base currency.
 - The United States and the United Kingdom use the indirect quotation method.

Exchange rate regime

- An exchange rate regime is a set of arrangements or regulations made by the monetary authority, in which the exchange rate of the domestic currency moves. Such as
 - stipulating the external value of the domestic currency,
 - stipulating the fluctuation range of the exchange rate,
 - stipulating the relationship between the domestic currency and other currencies,
 - stipulating the way to influence and intervene the exchange rate changes, etc.
- Two types of international exchange rate regime
 - fixed exchange rate system
 - floating exchange rate system

Exchange rate regime

- Fixed exchange rate regime
 - A regime keeps the exchange rate between its own currency and other countries' currencies unchanged at a certain level, through various forms of exchange rate intervention by government in the market.
- Floating exchange rate regime
 - A regime that the country does not intervene in the market and lets the market freely determine the level of the exchange rate.
 - According to the degree and method of intervention, floating exchange rate system can be divided into:
 - completely free floating exchange rate system
 - managed floating exchange rate system.

Fixed and floating exchange rate regimes

- Most countries adopted fixed exchange rate systems before the 1970s.
- Later, due to the dollar crisis and the Bretton Woods system collapsed, countries began to adopt floating exchange rate systems.

Exchange rate system in China

- In China, the State Administration of Foreign Exchange is responsible for managing the market exchange rate of the Renminbi.
- Current exchange rate system: **A single, managed floating exchange rate system based on market supply and demand.**
 - (1) A single exchange rate;
 - (2) to designate banks authorized to handle foreign exchange to buy and sell foreign exchange at the National Foreign Exchange Trade Center;
 - (3) When exchange rate fluctuations exceed a certain range, the PBOC intervenes in the market;
 - (4) According to the price formed in the inter-bank foreign exchange market of the previous day, the People's Bank of China announces the exchange rate of RMB against US dollar and other major currencies on that day;
 - (5) All banks dealing in foreign exchange shall list and trade foreign exchange within the floating range stipulated by the People's Bank of China.

Exchange rate system in China

- Some countries regard the RMB exchange rate as a “fixed peg (US dollar) exchange rate system”.
- IMF classifies China's exchange rate arrangements under "other conventional fixed pegs" program.

The market-oriented reform of exchange rate

- The market-oriented reform of the RMB exchange rate has been gradual and progressive.
- There are several major moments of “exchange rate reform” in China:
 - The exchange rate reform on January 1, 1994;
 - The exchange rate reform on July 21, 2005;
 - The exchange rate reform on August 11, 2015.

Development of China's exchange rate regime

1. Early years (1949-1978): Single Fixed Exchange Rate System

- In the early years of the People's Republic of China, it was the era of a planned economy, the government aimed to control economic order and maintain national sovereignty through a fixed exchange rate.
- There was a need for a stable currency to promote economic recovery and development. China implemented a fixed exchange rate system.
 - Before 1972, the RMB was pegged to the British pound;
 - From 1972 to 1978, it was pegged to a basket of currencies;
 - After 1978, it was pegged to the U.S. dollar.
- ✓ (This period roughly corresponds to the fixed exchange rate system under the Bretton Woods framework.)

Development of China's exchange rate regime

1. Early years (1949-1978): Single Fixed Exchange Rate System

- On January 18, 1949, the People's Bank of China officially announced the RMB exchange rate for the first time.
 - In 1949, 1 U.S. dollar was worth 80 yuan of the old RMB.
 - By March 1950, 1 U.S. dollar was worth 42,000 yuan of the old RMB, a 525-fold difference.
 - After 1950, prices steadily declined, stabilizing around 1953, RMB exchange rate began to settle.
- In 1955, a currency reform was implemented. The official exchange rate was adjusted to 2.46 RMB per U.S. dollar, which remained until the Bretton Woods System began to collapse.
- In August 1971, President Nixon closed the gold window, marking the end for the Bretton Woods system. The U.S. dollar began to depreciate, the RMB appreciated against the U.S. dollar, reaching a peak of 1.45 RMB per U.S. dollar in July 1980.

Development of China's exchange rate regime

1. Early years (1949-1978): Single Fixed Exchange Rate System

- Problems:
 - Market Distortion: A fixed exchange rate led to inefficient resource allocation and slow market responses.
 - Black Market Phenomenon: Due to the disconnect between the official exchange rate and market demand, a black market for currency emerged, resulting in exchange rate distortions.
- During the planned economy, the economy was not highly open, and trade volumes were small. The foreign trade sector operated under an internal accounting system, which allowed for the acceptance of an overvalued RMB.
- However, after the reform and opening-up policy, the overvaluation of the RMB reduced trade profits and export enthusiasm, leading to a shortage of foreign exchange. By the end of 1980, China's foreign exchange reserves were negative at - \$1.296 billion, prompting a reform of the exchange rate system.

Exchange Rate of USD/CNY (1949-1978)



Development of China's exchange rate regime

2. Dual Exchange Rate System (1979-1994)

- This period marked the transition from a planned economy to a market economy.
- To adapt to economic reforms, promote foreign trade, and attract foreign investment, the government began allowing some market mechanisms to exist, the dual rate provided a degree of flexibility.
- In August 1979, the State Council decided to reform the exchange rate system, introducing a dual-track system:
 - The internal trade settlement price was set at 2.8 RMB per U.S. dollar, based on the average foreign exchange cost of national exports in 1978, with a 10% markup.
 - The non-trade official exchange rate continued the previous pricing model, calculated as the weighted average of a basket of currencies.

Development of China's exchange rate regime

2. Dual Exchange Rate System (1979-1994)

- Two phases of dual-track exchange rates system
 - The 1st phase of dual-track system: official rates and internal trade settlement prices (1981-1984)
 - The 2nd phase of dual-track system: official rates and adjustment market rates (1985-1994).

The first phase of dual-track system

2. Dual Exchange Rate System (1979-1994)

- Phase I (1981-1984): the coexistence of internal settlement rate and official exchange rate.
 - Before the reform, in order to expand exports, the RMB needs to be depreciated, but the depreciation of the RMB is detrimental to non-tradable foreign exchange earnings.
 - In August 1979, in order to meet the needs of both trade and non-trade, the government decided to implement the internal trade settlement exchange rate in addition to the official exchange rate from January 1, 1981. It is calculated by the average foreign exchange cost of national exports plus a certain range of profits, which is significantly lower than the official exchange rate.
 - Initially, the official exchange rate of 1.5 RMB per U.S. dollar was much higher than the internal trade settlement price. The relatively undervalued internal trade settlement price stimulated export activities, and foreign exchange reserves began to accumulate, turning positive in 1981 (at \$2.708 billion).
- However, this dual exchange rate system had inherent flaws...

The first phase of dual-track system

- The dual exchange rate system obviously aroused the enthusiasm of export enterprises. However, there are obvious problems with this arrangement:
 - (1) the IMF regards the dual exchange rate system as a government subsidy to exports, and developed countries threaten to impose subsidy taxes on China's exports;
 - (2) dual exchange rates cause confusion in foreign exchange management, and they are not effective in curbing imports.

Dual-track exchange rates (USD/CYN)

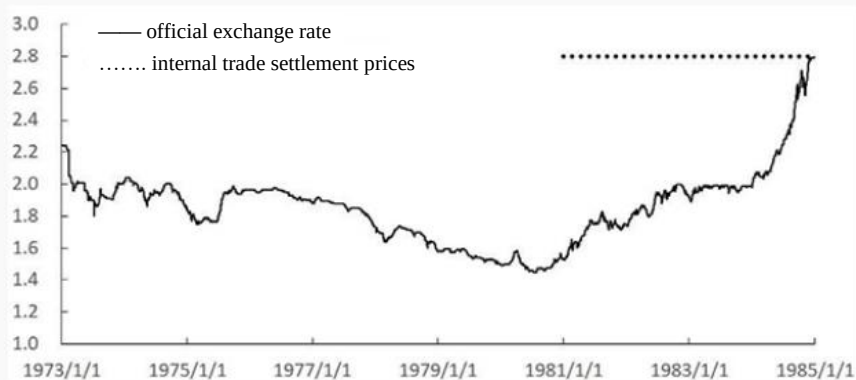


图3：双重汇率制时期的人民币汇率

资料来源：丁志杰等（2018），国家外汇管理局

The first phase of dual-track system

- On one hand, the dual system created opportunities for risk-free arbitrage, as participants opted for the higher internal settlement price when converting currency and the lower official exchange rate when purchasing foreign currency, leading to the emergence of a black market and a shortage of official foreign exchange supply.
- On the other hand, while the internal settlement price remained fixed, the official exchange rate was continually adjusted based on supply, demand, and inflation. The lower official rate resulted in excess demand, coupled with high inflation, ultimately leading the official rate to converge with the internal settlement price by the end of 1984. Then the comparative advantage of the undervalued internal settlement rate diminished, causing a shift from a surplus to a deficit in the balance of payments, and foreign reserves began to decline.
- In 1985, the authorities abolished the official rate and implemented a single exchange rate system pegged to trade rates, yet the dual exchange rate system persisted.

Another dual-track system

- To encourage export, from 1979, a system was implemented allowing enterprises and local governments to retain a portion of foreign exchange based on their income type and region, creating a demand for foreign exchange adjustment.
- This led to the coexistence of official and adjustment markets, the second phase of dual exchange rate system: official rates and adjustment market rates.

The second phase of dual-track system

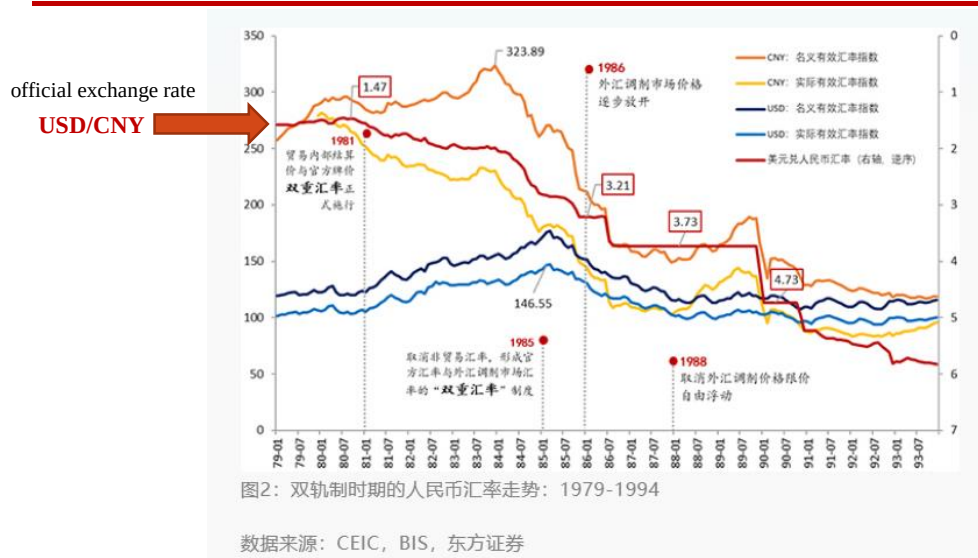
2. Dual Exchange Rate System (1979-1994)

- Phase II (1985-1993): the coexistence of the official exchange rate and the adjustment market exchange rate.
 - From January 1, 1985, the internal settlement rate was abolished, and the RMB reverted to a single exchange rate.
 - Since 1988, in order to cooperate with the foreign trade reform, China gradually abolished financial subsidies, increased the proportion of foreign exchange retained. Then each province generally set up foreign exchange adjustment centers, liberalized the adjustment market exchange rate, and formed the situation of the coexistence of official exchange rate and adjustment market exchange rate.
 - By the end of 1993, 121 adjustment centers had been established nationwide.

The second phase of dual-track system

- The foreign exchange adjustment service began in 1980 through the Bank of China, pricing based on the internal settlement price with a 5%-10% markup but with official price limits.
- By April 1988, Shanghai established the first public foreign exchange adjustment market, introducing open bidding system, gradually eliminating price limits and allowing free floating.
 - In February 1993, due to an overheated domestic economy, the adjustment market faced price limits again, but this did not curb the depreciation of the renminbi.
 - In July 1993, the People's Bank of China first intervened in the market by selling foreign exchange reserves and eliminating price limits once more.
- Before the unification of rates in 1994, under central bank intervention, the dollar to renminbi rate in the adjustment market was 8.7, while the official rate was 5.8, yet transactions in the adjustment market accounted for 80% of total trading.

Exchange Rate of USD/CNY (1979-1994)



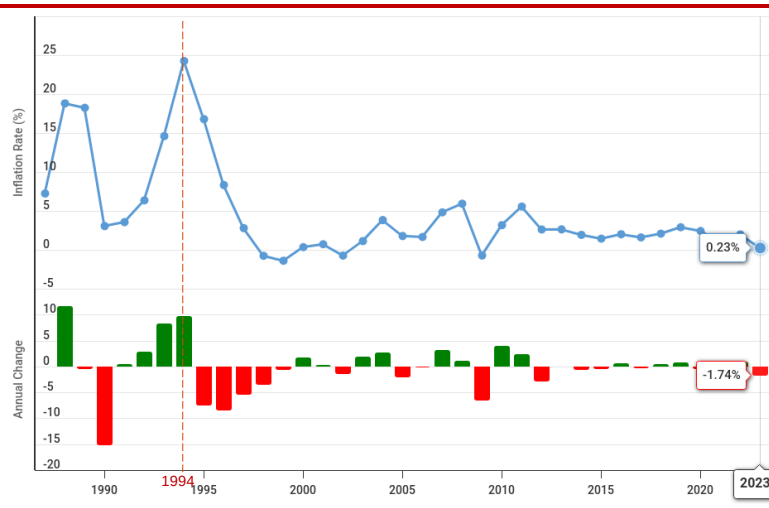
The second phase of dual-track system

- Problems of dual exchange rate system:
 - Inefficiency: The dual system resulted in unequal resource allocation, with significant discrepancies between state-owned and private enterprises regarding exchange rate access.
 - Arbitrage Opportunities: The existence of two rates created opportunities for arbitrage, leading to unfair competition in the market.
- The dual exchange rate system was a transitional arrangement during the economic shift, possessing certain rationality, but as long as there are multiple relative prices for currency, opportunities for risk-free arbitrage will persist, making it difficult to achieve exchange rate equilibrium.

Toward a new exchange rate system

- In early 1991, the inflation effects of earlier expansionary policies began to manifest, with consumer prices peaking at a year-on-year increase of 27.5% in November 1994.
- “Balancing domestic inflation control and stable exchange rates” became the primary concern for decision-makers.
- This balancing act propelled reforms toward a floating exchange rate system and a revaluation of the renminbi.

China Inflation Rate 1987-2024



Data Source: World Bank

Development of China's exchange rate regime

3. Exchange rate unification (1994)

- To unify the market and improve efficiency, the government decided to implement exchange rate unification, eliminating the drawbacks of the dual system.
- In response to criticisms from the international community about the irrationality of the renminbi exchange rate, China needed to enhance exchange rate transparency through unification.
- The overall goal of the foreign exchange system reform in 1994 was to “**establish a single, managed floating exchange rate system, and a unified and standardized foreign exchange market based on market supply and demand, and gradually make the RMB a convertible currency**”.

1994 Exchange Rate Reform

- The key aspects of this reform included:
 - **Unification of exchange rates:** The dual-track system was abolished, and the "foreign exchange adjustment market" was eliminated, leaving only the "official exchange rate."
 - **Devaluation of the official exchange rate:** The official rate was devalued by 33%, from 5.2 to 8.7, aligning with the existing market rate.
 - **Compulsory foreign exchange settlement and sale:** Foreign trade companies were no longer allowed to retain foreign exchange and had to convert their foreign currency earnings into RMB at banks.
 - **Conditional convertibility under the current account:** Chinese enterprises could purchase foreign exchange at banks for external payments with the required documentation.
 - **Establishment of the interbank foreign exchange market:** Foreign exchange trading was centralized at the national interbank foreign exchange market, and membership was required to participate in foreign exchange trading.
 - **Managed floating exchange rate system:** The People's Bank of China set daily reference prices, allowing the exchange rate to fluctuate within a 0.3% range from the reference price.

Development of China's exchange rate regime

3. Exchange rate unification and managed floating exchange rate system (1994-2004)

- The overall goal of the foreign exchange system reform in 1994 was to "establish a single, managed floating exchange rate system, and a unified and standardized foreign exchange market based on market supply and demand, and gradually make the RMB a convertible currency".
 - (1) On January 1, 1994, the official RMB exchange rate was integrated with the foreign exchange adjustment rate.
 - (2) the bank settlement and sale system of foreign exchange was implemented, and the retention and surrender of foreign exchange were abolished.
 - (3) establish a unified and standardized national inter-bank foreign exchange market. The central bank manages the RMB exchange rate through participating in the market transactions.
- In December 1996, China realized the convertibility of RMB under current account.
- In 1999, the IMF changed the classification of China's exchange rate regime from a "managed float" to a "fixed peg to a single currency".

Development of China's exchange rate regime

3. Exchange rate unification and managed floating exchange rate system (1994-2004)

- Problems of exchange rate unification:
 - Short-Term Shocks: The rapid adjustment of the exchange rate during the unification process could cause market instability in the short term.
 - External Dependence: After unification, the renminbi became more susceptible to fluctuations in the international market and global economic conditions.

1997 Asian Financial Crisis

- After the 1994 exchange rate reform, China's foreign exchange system stabilized, foreign trade expanded rapidly, and foreign exchange reserves grew quickly.
- However, the 1997 Asian financial crisis interrupted China's progress toward market-oriented exchange rate reform. Many East Asian countries' currencies were heavily devalued, and China opted to suspend exchange rate liberalization, reinstating a fixed exchange rate policy to protect the RMB and the Hong Kong dollar.

Development of China's exchange rate regime

4. Managed Floating Exchange Rate System (2005-2015)

- With China's economic rise, promoting the internationalization of the renminbi became necessary; a more market-oriented exchange rate formation mechanism would help enhance its global standing and adaptability to external environments.
- China's exchange rate reform resumed on July 21, 2005.
- In 2005, the People's Bank of China announced the implementation of a "**managed floating exchange rate system based on market supply and demand, with reference to a basket of currencies.**" The reform ended the seven-year-long fixed exchange rate regime, introduced a basket of currencies for exchange rate pricing, and gradually expanded the daily fluctuation range of the exchange rate.

2005 Exchange Rate Reform

- The 2005 exchange rate reform primarily included two key elements:
 - **Introduction of a currency basket:** The RMB (Renminbi) was no longer solely pegged to the US dollar but instead referenced a basket of major currencies, with each currency assigned a certain weight based on China's external economic development. This way, the RMB exchange rate would be determined by the performance of multiple currencies rather than just the dollar.
 - **Market-based adjustment mechanism:** The management and adjustment of the RMB exchange rate were based on market supply and demand while also referencing changes in the multilateral exchange rate index of the currency basket. This mechanism aimed to ensure that the RMB exchange rate fluctuations could reflect changes in both domestic and international economic and financial conditions, maintaining the basic stability of the RMB at a reasonable and balanced level.
- Following the 2005 reform, the RMB began a three-year period of appreciation, driven by strong global expectations of a rising RMB.

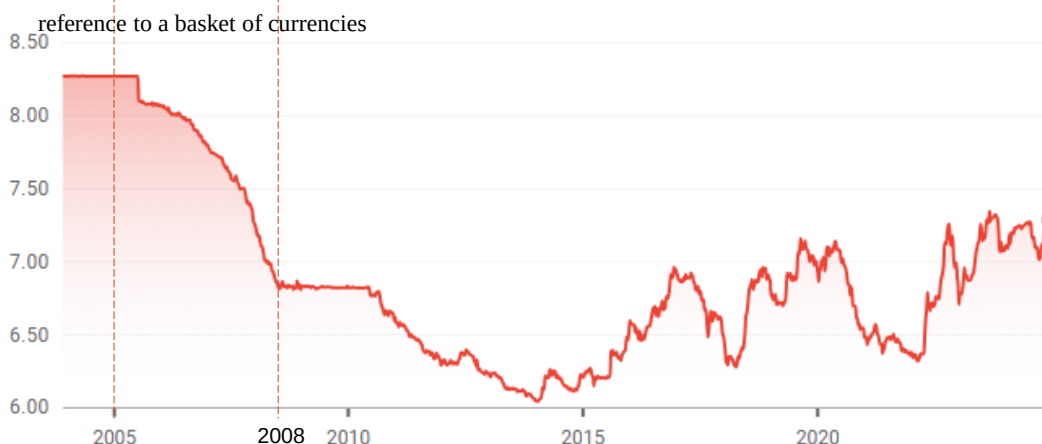
RMB exchange rate after 2005

Development of China's exchange rate regime

4. Managed Floating Exchange Rate System (2005-2015)

- Stage I (2005-2008): China carried out the reform to improve the RMB exchange rate regime.
- On July 21, 2005, The PBoC officially announced the abolition of the original monetary policy of pegging to the single US dollar, and began to implement a floating exchange rate system based on market supply and demand and adjusted by reference to a basket of currencies.
 - On July 21, 2005, the official exchange rate of USD against RMB was adjusted from 8.27 to 8.11, representing an increase of about 2.1%.
 - On January 4, 2006, the PBOC authorized the China Foreign Exchange Trade System to announce the central parity rates of RMB against US dollar, euro, Japanese yen and Hong Kong dollar at 9:15 a.m. every working day, which shall be used as the central parity rates of spot foreign exchange market and over-the-counter exchange rates of banks on that day.
 - On January 11, 2007: The RMB/USD 7.80 mark is breached.
 - On May 21, 2007: The People's Bank of China (PBOC) decided to expand the trading range of RMB against USD from 0.3% to 0.5% in the interbank spot foreign exchange market.
 - On April 10, 2008: The central parity rate of the RMB against the US dollar breaks 7.00.

Exchange Rate of USD/CNY after 2005



Development of China's exchange rate regime

4. Managed Floating Exchange Rate System (2005-2015)

- Stage II(2008-2010): China carried out the reform to improve the RMB exchange rate regime.
- From 2008 to June 2010, exchange rate pegged to the US dollar again;
 - From Mid-2008 to June 2010: RMB has appreciated 19% since the exchange rate reform in 2005, but the appreciation trend of RMB stopped due to the impact of the US financial crisis in 2008; At the same time, after the outbreak of the crisis, the RMB began to peg closely to the US dollar.
 - In 2008, to mitigate the adverse impact of the global financial crisis, China appropriately narrowed the fluctuation range of the RMB exchange rate. While many currencies depreciated significantly against the US dollar, the RMB remained largely stable, playing a crucial role in shielding China from the crisis and contributing significantly to the recovery of the Asian and global economies.

Development of China's exchange rate regime

4. Managed Floating Exchange Rate System (2005-2015)

- Stage III(2010-2015): further reform the exchange rate formation mechanism and enhance flexibility.
- From June 2010 to August 2015, back to managed floating exchange rate regime.
 - June 19, 2010: The People's Bank of China (PBOC) announced that it would restart the exchange rate system frozen since the financial crisis, further promote the reform of RMB exchange rate formation mechanism, and enhance the flexibility of RMB exchange rate.
 - April 14, 2012: The People's Bank of China (PBOC) decided to increase the floating range of the spot exchange rate of RMB against US dollar from 0.5% to 1% for the first time.
 - March 15, 2014: The People's Bank of China (PBOC) decided to expand the trading range of RMB against US dollar in the interbank spot foreign exchange market from 1% to 2%.

Exchange Rate of USD/CNY after 2005



Development of China's exchange rate regime

4. Managed Floating Exchange Rate System (2005-2015)

- Problems:
 - Increased Volatility: The managed floating exchange rate system led to greater exchange rate volatility, creating uncertainty for businesses and investors.
 - Lack of Policy Transparency: The market had unclear expectations regarding central bank interventions, potentially leading to market instability.

Development of China's exchange rate regime

5. Reference Floating Exchange Rate System (2015-Present)

- In 2015, China initiated another round of exchange rate reform.
- On August 11, 2015, the People's Bank of China adjusted the RMB exchange rate's central parity rate pricing mechanism, allowing the central parity rate to be based on the previous day's closing rate and a basket of currencies.
 - This reform aimed to make the RMB more flexible and stable, aligning with China's goal of RMB internationalization, to further promote exchange rate marketization.
 - Subsequently, the IMF included the RMB in the Special Drawing Rights (SDR) basket in 2015, marking a significant step toward the internationalization of the currency.

2015 Exchange Rate Reform

The Main Contents of the RMB Exchange Rate Reform in 2015

- Improvement of the Quotation Mechanism for the Central Parity Rate of the RMB against the US Dollar
 - To enhance the marketization degree and benchmarking nature of the central parity rate, before the opening of the inter-bank foreign exchange market every day, market makers refer to the closing exchange rate on the previous day, comprehensively consider the foreign exchange supply and demand situation as well as the changes in the exchange rates of major international currencies, and then provide quotations for the central parity rate to the China Foreign Exchange Trade System.
- Strengthening the Emphasis on the Basket of Currencies
 - In December 2015, the China Foreign Exchange Trade System released a series of RMB exchange rate indices to guide the market to view the RMB exchange rate more comprehensively and objectively from the perspective of a basket of currencies, reducing excessive attention to the exchange rate of the RMB against the US dollar.
- Further Clarification of the Exchange Rate Formation Mechanism
 - In February 2016, the formation mechanism of the central parity rate of the RMB against the US dollar, which is based on "the closing price + changes in the exchange rates of a basket of currencies", was clarified, making the formation of the central parity rate more regularized and transparent.
- Introduction of the Counter-cyclical Factor
 - In May 2017, the China Foreign Exchange Trade System proposed adding a "counter-cyclical factor" to the quotation model of "the closing price + changes in the exchange rates of a basket of currencies". The purpose is to moderately hedge the pro-cyclical fluctuations of market sentiment, prevent the RMB exchange rate from excessive depreciation or appreciation, and maintain exchange rate stability.

Exchange Rate of USD/CNY after 2005



Development of China's exchange rate regime

5. Reference Floating Exchange Rate System (2015-Present)

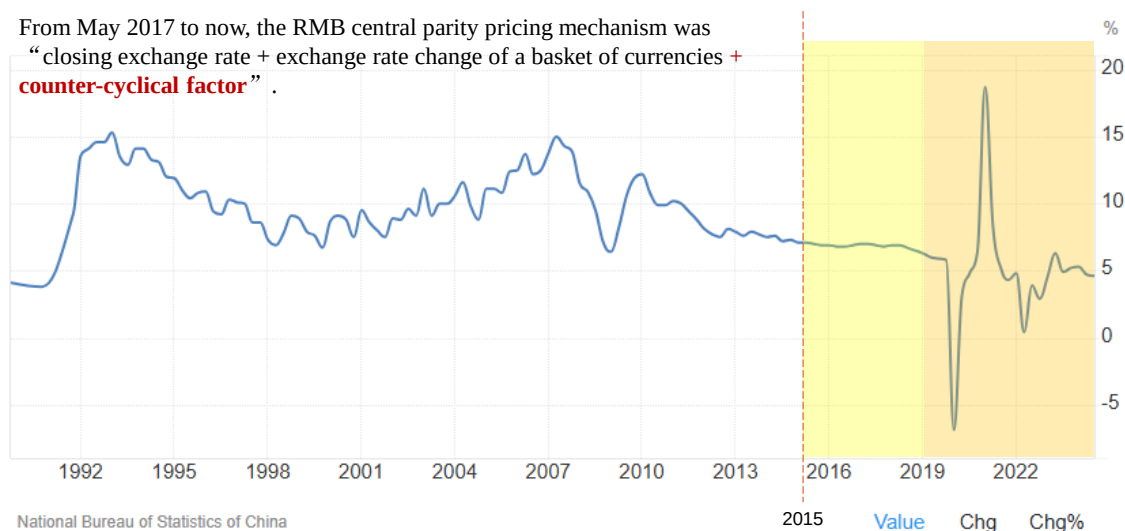
- Problems:
 - External Pressures: The renminbi exchange rate is influenced by fluctuations in the international market and external economic policies, leading to potential volatility.
 - Internal Coordination Challenges: Maintaining exchange rate stability while promoting economic growth requires higher levels of policy coordination and flexibility.

Development of China's exchange rate regime

- From August 2015 to May 2017, the RMB central parity pricing mechanism was “closing exchange rate + exchange rate change of a basket of currencies”
- From May 2017 to now, the RMB central parity pricing mechanism was updated, which was “closing exchange rate + exchange rate change of a basket of currencies + counter-cyclical factor”.

China GDP Annual Growth Rate

From May 2017 to now, the RMB central parity pricing mechanism was “closing exchange rate + exchange rate change of a basket of currencies + **counter-cyclical factor**” .



Development of China's exchange rate regime

- On August 5, 2019, under the influence of unilateralism, trade protectionism measures, and expectations of tariffs imposed on China, the RMB depreciated against the US dollar, breaking the 7.0 threshold driven by market forces.
- The PBOC responded with a comprehensive set of measures to keep foreign exchange supply and demand in basic balance.
- On July 9, 2020, both the onshore and offshore RMB exchange rates against the US dollar recovered the 7.0 mark, returning to the "6 era".

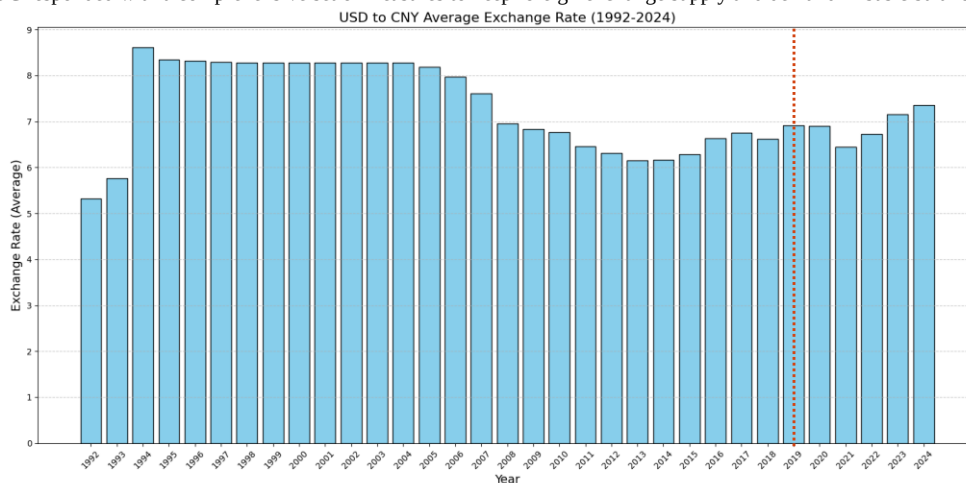
Exchange Rate of USD/CNY after 2005



RMB/USD exchange rate from 1992

On August 5, 2019, under the influence of unilateralism, trade protectionism, and expectations of tariffs imposed on China, the RMB depreciated against the US dollar, breaking the 7.0 threshold driven by market forces.

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The main trading products in China's FX market

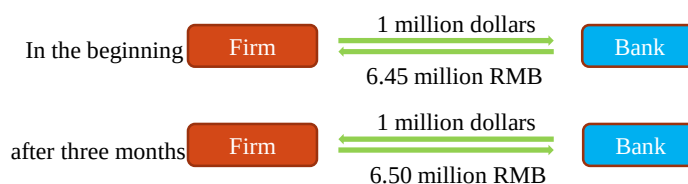
- The foreign exchange market mainly includes four types of products:
 - Spot
 - Forwards
 - Foreign exchange swap
 - Currency swap
 - Options
 - ✓ Note: there is NO futures!
- There are five domestic and foreign currency trading currency pairs of RMB against
 - US dollar
 - Euro
 - Japanese yen
 - Hong Kong dollar
 - British pound

The main trading products in China's FX market

- China's foreign exchange trading products mainly include the following types:
 - 1. RMB foreign exchange Spot trading (FXSpot) : RMB to US dollar, euro, Japanese yen, Hong Kong dollar and British pound five domestic and foreign currency trading currency pairs;
 - 2. FX to FX SpotExchangeTransactions: Spot exchange transactions of 8 foreign currencies: EUR/USD, AUD/USD, GBP/USD, USD/JPY, USD/CAD, USD/CHF, USD/HKD and EUR/JPY;
 - 3. RMB foreign exchange Swap (FXSwap);
 - 4. RMB foreign exchange forward transaction (FXForward);
 - 5. RMB foreign exchange currency swap (CurrencySwap);
- In addition, the interbank foreign exchange market also includes spot transactions in eight foreign currencies, namely EUR/USD, AUD/USD, GBP/USD, USD/JPY, USD/CAD, USD/CHF, USD/HKD and EUR/JPY.

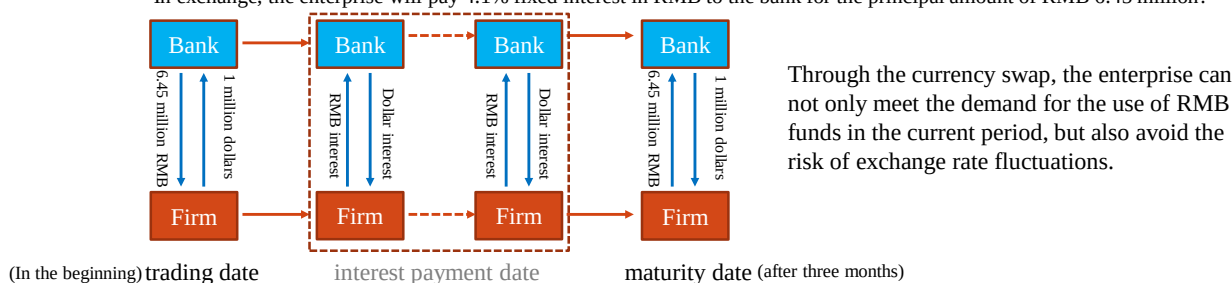
Examples of RMB FX swap

- A Chinese foreign trade enterprise has 1 million US dollars of foreign exchange in hand, and plans to settle the foreign exchange to purchase raw materials for production in China. However, after three months, it needs to pay 1 million US dollars for the import of raw materials.
- The enterprise and the bank signed a spot settlement of foreign exchange/forward purchase of foreign exchange swap business.
- The swap contract agreed a day of settlement of foreign exchange 1 million dollars, while three months later to purchase 1 million dollars, the price is 6.4500 and 6.5000 respectively.
- Through the swap transaction, the enterprise solved the problem of time mismatch of capital use at a lower cost and achieved the purpose of avoiding exchange rate risk.



Examples of RMB FX currency swaps

- A Chinese foreign trade enterprise has 1 million US dollars of foreign exchange in hand, and plans to settle the foreign exchange to purchase raw materials for production in China. However, after three months, it needs to pay 1 million US dollars for the import of raw materials.
- The enterprise signed a currency swap business with the bank. The agreement is:
 - At the beginning of the period: firm will exchange USD 1 million and RMB 6.45 million at the exchange rate of 6.4500.
 - At the end of the period, the firm will exchange USD 1 million and pay RMB 6.45 million at the exchange rate of 6.4500.
 - On the basis of USD 1 million, the bank will pay 1% interest in USD to the enterprise.
 - In exchange, the enterprise will pay 4.1% fixed interest in RMB to the bank for the principal amount of RMB 6.45 million.



RMB foreign exchange options

- RMB foreign exchange option refers to the business in which the bank and the customer enter into a RMB foreign exchange option contract, and the buyer of the contract has the right to buy or sell an agreed quantity of US dollars or other specified foreign exchange to the seller of the contract at the agreed strike price on the expiration date of the option contract.
 - The option buyer of the option owns the right by paying the premium of the option;
 - The option seller receives the option premium and performs the obligation when the buyer exercises option.
- Foreign exchange options shall include the trading day, currency pair, trading direction, amount, exercise price, option premium, expiration date and delivery date, etc.
- RMB foreign exchange options are divided into foreign exchange call options and foreign exchange put options, and the option type is common European option.
- At present, the trading currency pairs of RMB foreign exchange option business include US dollar, Hong Kong dollar, Japanese yen, euro and British pound.

Classification of China's FX market

- By ways of trading
 - Spot trading of foreign exchange
 - Derivatives trading of foreign exchange
- By trade products
 - Spot foreign exchange market (spot trading)
 - Forward foreign exchange market (derivatives trading)
 - Foreign exchange swaps and currency swaps market (derivatives trading)
 - Foreign exchange options market (derivatives trading)
- By trading subjects
 - Bank-to-customer foreign exchange market
 - Interbank foreign exchange market

Major players in China's FX market

- 1. Foreign exchange banks
 - It is the main body of the foreign exchange market. About 90% of the foreign exchange trading business is carried out among foreign exchange banks. Foreign exchange banks are commercial banks and other financial institutions approved by the central bank to engage in foreign exchange business activities.
- 2. Foreign exchange brokers and foreign exchange dealers
 - Broker is a middleman who specializes in introducing the business of buying and selling and facilitating transactions between buyers and sellers. Brokers do not participate in trading activities, but only provide services for commission.
 - Dealers use their own funds to participate in the buying and selling intermediary activities, and bear the profit and loss.
- 3. General customers
 - Refers to enterprises, institutions and organizations in the foreign exchange market other than foreign exchange banks. They are the initial suppliers and ultimate demanders of foreign exchange, such as enterprises engaged in import and export trade.
- 4. Foreign exchange speculators
 - Refers to market participants who make speculative profits by predicting the rise and fall trend of exchange rates and taking advantage of the time difference in the exchange rate to buy low and sell high.
 - Speculative activities are an effective way to improve the foreign exchange market. However, speculators often manipulate a large number of funds, launch a sudden attack on a certain currency, affect the normal trend of a certain currency.
- 5. Central banks
 - The central bank does not trade foreign exchange for profits, but to manage the foreign exchange market and guide the direction of exchange rate movements to facilitate the implementation of domestic macroeconomic policies or meet the requirements of international agreements.

Development history of China's FX market

- 1949-1978: Foreign exchange control stage. During this period, China's foreign exchange market was completely controlled by the state, and there were basically no channels for free foreign exchange trading in the market.
- 1979-1993: Initial opening of the foreign exchange market. During this period, China began to gradually open its foreign exchange market, introduced foreign capital, and established the first foreign exchange market.
 - In 1981, China's interbank foreign exchange market was established, marking the opening up of FX market and the beginning of the marketization process.
- 1994-2003: Stage of foreign exchange market system reform. During this period, China's foreign exchange market was further reformed and opened up, the China Foreign Exchange Trade Center was established, and market-oriented management of foreign exchange was started.
 - In 1994, China set up the Foreign Exchange Trade Center to further promote the market-oriented reform of foreign exchange.
 - In 1996, China joined the Bank for International Settlements, marking the beginning of the integration of China's FX market with the international market.
- 2004-2015: During this period, China began to implement the two-way floating system of RMB exchange rate and gradually promoted the convertibility of capital account (note: not realized in 2015).
 - In 2005, China established a foreign exchange risk reserve system to provide a guarantee for risk management in the foreign exchange market.
 - In 2009, China established the Shanghai Foreign Exchange Market, which further promoted the internationalization of the foreign exchange market.
 - In 2015, the PBOC announced the market-oriented reform of the RMB exchange rate, which enabled the RMB exchange rate to float in both directions.
- 2016-present: Internationalization stage. In this stage, China accelerated the pace of internationalization of the foreign exchange market and continued the openness of the foreign exchange market.
 - In 2022, the cumulative trading volume of China's FX market has exceeded \$34.50 trillion, making it one of the largest foreign exchange markets in the world.

The current situation of China's FX market

- The foreign exchange market is one of the largest and most active financial markets in the world, with staggering daily trading volume.
- According to statistics from the International Financial Markets Association (IFMA), the average daily trading volume of the global foreign exchange market has exceeded \$7.5 trillion in 2022, a figure equivalent to one-third of the world's GDP.
- From January to December 2023, China's foreign exchange market has accumulated 252.58 trillion yuan (equivalent to 35.85 trillion U.S. dollars) in turnover. (It was 212.2 trillion yuan for Stock market.)
- [中国外汇市场交易概况数据 国家外汇管理局门户网站 \(safe.gov.cn\)](http://safe.gov.cn)

The current situation of China's FX market

2024年中国外汇市场交易概况														
单位: 亿美元	交易品种	2024年1月	2024年2月	2024年3月	2024年4月	2024年5月	2024年6月	2024年7月	2024年8月	2024年9月	2024年10月	2024年11月	2024年12月	合计
一、即期	银行对客户市场	11722	7338	10726	10407	10989	10058	13111	13851					88203
	其中: 买入外汇	3844	2775	3404	3535	3387	3498	3885	3521					27939
	卖出外汇	2048	1444	1803	2023	1824	1949	2243	1775					15199
二、远期	银行对客户市场	1796	1331	1602	1512	1562	1549	1642	1746					12740
	其中: 买入外汇	4663	2722	3672	3682	4072	3660	5226	6024					60264
	卖出外汇	542	392	647	510	460	470	591	575					4188
三、外汇和货币掉期	银行对客户市场	395	276	387	347	326	330	387	384					2833
	其中: 买入外汇	144	118	171	182	143	175	187	125					1245
	卖出外汇	251	158	216	165	183	155	200	259					1587
四、期权	银行对客户市场	184	152	191	187	157	156	151	252					1431
	其中: 3个月(含)以下	160	106	160	133	122	139	188	118					1123
	1年以上	51	18	36	28	48	35	48	14					278
五、合计	银行对客户市场	147	117	260	163	134	140	204	192					1355
	其中: 3个月(含)以下	104	76	195	105	76	87	138	152					934
	3个月至1年(含)	41	37	60	57	55	51	61	36					397
六、其他	银行对客户市场	2	4	4	1	3	2	5	3					24
	其中: 买入外汇	21062	15124	22015	20196	21023	19610	24104	22209					165342
	卖出外汇	565	477	676	569	440	542	535	520					4365
七、近端换入外汇	银行对客户市场	56	27	31	29	66	72	42	94					417
	其中: 买入外汇	509	450	645	540	374	510	493	426					3948
	卖出外汇	20497	14647	21239	19627	20582	19028	23569	21689					160978
八、近端换出外汇	银行对客户市场	17747	12788	18718	16907	17953	16589	20434	19315					140451
	其中: 3个月(含)以下	2697	1826	2527	2668	2561	2388	3070	2326					20061
	1年以上	53	34	94	52	69	52	65	48					405
九、远期	银行对客户市场	1391	875	1324	1332	1143	1244	1415	1125					9850
	其中: 买入期权	490	278	413	422	301	371	350	336					2961
	卖出期权	284	159	233	249	146	204	175	170					1620
十、期权	银行对客户市场	206	118	180	173	155	168	176	166					1342
	其中: 3个月(含)以下	231	119	194	114	128	157	129	215					1287
	3个月至1年(含)	204	112	154	267	136	152	195	111					1331
十一、其他	银行对客户市场	56	46	65	42	36	63	26	9					344
	其中: 3个月(含)以下	901	598	842	873	873	1065	789	689					6889
	3个月至1年(含)	500	341	500	577	510	536	620	543					4125
十二、合计	银行对客户市场	401	256	410	333	331	332	444	245					2753
	其中: 3个月(含)以下	0	1	1	0	2	5	0	1					11
	3个月至1年(含)	34717	23730	34712	32446	32614	31382	39220	37780					267583
十三、近端换入外汇	银行对客户市场	5295	3806	4972	4874	4454	4782	5157	4760					38098
	其中: 买入期权	29423	19924	29741	27572	29161	26601	34063	33001					229485
	卖出期权	11722	7338	10726	10407	10989	10058	13111	13851					88203
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注: 1. 外汇市场统计口径仅限于人民币对外币交易, 不含外币之间交易。
2. 银行对客户市场采用客户买卖外汇总额, 银行间外汇市场采用单边交易量, 均为发生额本金。
3. 银行对客户市场的即期=买入外汇(售汇)+卖出外汇(结汇)(含银行自身结售汇, 不含远期结售汇履约)、远期=买入外汇(售汇)+卖出外汇(结汇)、外汇和货币掉期=近端换入外汇(售汇)+近端换出外汇(结汇)、期权=买入期权+卖出期权, 均采用客户交易方向。
4. 本表数据采用四舍五入原则。

How to participate in FX investments?

- 1. Purchasing Bank Forex Investment Products
 - With the gradual opening of foreign exchange policies, some banks have launched forex investment products for customers. This method is the simplest and most accessible way for individuals.
- 2. Active Currency Purchase
 - Since 2013, currency purchasing in China becomes more convenient, allowing transactions directly through mobile banking apps. Investors can hold currency for appreciation and potentially benefit from higher interest rates compared to RMB.
- 3. Participating in Forex Trading
 - Spot Forex Trading:** Offered by major domestic commercial banks, customers can exchange one freely convertible currency for another. Participation involves visiting a bank branch or using a mobile app to open an account, followed by executing trades online.
 - Forex Margin Trading:** This involves signing a contract with a designated bank to open a trust investment account and depositing a margin as collateral. Investors can freely buy and sell within a set credit limit, enabling small investors to control larger amounts of currency.

China's foreign exchange market regulator

- The People's Bank of China:
 - (1) to formulate China's exchange rate policy and submit it to The State Council for approval;
 - (2) to administer foreign exchange control and supervise the interbank foreign exchange market;
 - (3) to supervise and manage the gold market;
 - (4) to hold, manage and operate the state's foreign exchange reserves and gold reserves.
- The State Administration of Foreign Exchange:
 - (1) To manage the balance of payments statistics, to prepare the balance of payments statement, and to put forward policy suggestions for maintaining the balance of payments.
 - (2) To administer the foreign exchange market, supervise and manage the operation order of the foreign exchange market, and cultivate and develop the foreign exchange market.
 - (3) To manage the foreign exchange and foreign debt, formulate the exchange management measures under current account, supervise the exchange behavior under current account.
 - (4) To manage the state's foreign exchange reserves as entrusted by the People's Bank of China.

Regulatory policies in China's FX market

- Foreign exchange market access regulations
- Foreign exchange market risk management policy
- Foreign exchange market information disclosure policy

FX market access regulations in China

- 1. Currency Conversion: Individuals and companies can convert Renminbi (RMB) into foreign currencies within certain limits, often requiring documentation for larger transactions.
- 2. Capital Controls: China imposes strict capital controls on cross-border capital flows, including restrictions on foreign investments and limits on outbound investments by Chinese citizens and firms.
- 3. Foreign Investment Approval: Foreign entities must often obtain approval from the State Administration of Foreign Exchange (SAFE) to invest in certain sectors or to convert funds into RMB.
- 4. Exchange Rate System: The RMB operates under a managed floating exchange rate system, with daily trading bands set by the People's Bank of China (PBOC).
- 5. Quota Systems: Programs like the Qualified Foreign Institutional Investor (QFII) and Renminbi Qualified Foreign Institutional Investor (RQFII) allow foreign investors to access China's capital markets within specified quotas.
- 6. Anti-Money Laundering Measures: Financial institutions are required to implement stringent anti-money laundering (AML) and Know Your Customer (KYC) regulations to prevent illicit financial activities.

FX mkt risk management policy in China

- 1. Capital Controls: By regulating capital inflows and outflows, China aims to minimize excessive volatility in the foreign exchange market. These controls help prevent sudden capital flight and protect the economy from external shocks.
- 2. Managed Exchange Rate System: The People's Bank of China (PBOC) employs a managed floating exchange rate system, where the RMB's value is allowed to fluctuate within a defined range. This approach helps smooth out excessive volatility while allowing for market-driven adjustments.
- 3. Reserve Requirements: Financial institutions are required to maintain foreign exchange reserves, which serve as a buffer against currency risk and help stabilize the currency of market stress.
- 4. Forward Contracts and Derivatives: Businesses are encouraged to use foreign exchange derivatives, such as forward contracts and options, to hedge against currency risk. This helps companies manage potential losses from unfavorable exchange rate movements.
- 5. Risk Assessment Frameworks: Financial institutions are required to develop comprehensive risk management frameworks, including stress testing and scenario analysis, to evaluate their exposure to foreign exchange risks.
- 6. Foreign Exchange Market Interventions: The PBOC may intervene in the foreign exchange market to stabilize the RMB, particularly during periods of excessive volatility or speculation.

China's foreign exchange trading platform

- **There are NO foreign exchange platforms regulated by the CBRC (now NFRA).**
- For individual investors, China only has spot FX trading with banks.
- China's domestic foreign exchange credit trading has not been opened yet, and the supervision has not kept up, so if you want to speculate on foreign exchange, you can only choose some regulated foreign platforms.
- The lack of China's foreign exchange regulatory agency also leads to the fact that most of the domestic foreign exchange platforms are foreign platforms except for some platforms in Hong Kong.
- At present, most of the foreign exchange platforms in China accept the supervision of the UK FCA or the Australia ASIC.

How to choose a platform for FX trading?

Q:How to choose a platform for opening an account of foreign exchange trading?

- Foreign exchange trading must choose a regular platform that has been established for a long time (at least for more than ten years); Strictly supervised by regulatory agencies, such as FCA, ASIC, FSA and other countries with strict supervision, the more the better, at least need more than three.
- You can refer to the following standards:
 - **Strict supervision:** Supervised by a number of countries with regulatory license announced;
 - **Independent trading:** Focus on trading risk management, do not promise returns, do not call orders;
 - **Free trading:** Free access to withdrawal, no restrictions on access to withdrawal;
 - **Unconditional withdrawal:** Cash profit without any conditions, will not let investors to pay taxes, pay margin, etc.

The world's top FX trading regulators

- When investors choose a foreign exchange trading platform, they need to look for reliable foreign exchange trading platform.
- Top 10 global regulators:
 - UK's Financial Conduct Authority FCA,
 - Ireland's Central Bank CBI,
 - Australia's ASIC,
 - Japan's Financial Agency FSA,
 - Switzerland's Financial Market Regulatory Authority FINMA,
 - US Futures Association NFA,
 - Hong Kong's SFC,
 - Singapore's MAS,
 - New Zealand's FMA,
 - Germany's BaFin.

Trends in China's foreign exchange market

- Process of RMB internationalization
- Digitalization and intelligentization
- Greater openness and internationalization

Trends in China's foreign exchange market

- The size of foreign exchange reserves continued to increase
 - As of the end of May 2023, China's total foreign exchange reserves stood at US \$3.18 trillion. The steady increase in foreign exchange reserves reflects a sound development of economy and the health of the foreign exchange market.
- The transaction volume of the foreign exchange market remained stable
 - The transaction volume of China's foreign exchange market was \$34.5 trillion USD in 2022 and \$35.85 trillion USD in 2023. The stable transaction volume of the foreign exchange market reflects the increasing vitality of the market.
- The RMB exchange rate remains basically stable
 - Since 2020, the RMB exchange rate has shown a relatively stable trend on the whole. The central parity rate of the RMB fluctuated within a certain range and remained basically stable.
- Increasing convenience of cross-border capital flows
 - Since 2020, China has gradually relaxed the controls on external capital flows, and the convenience of cross-border capital flows has been continuously improved. For example, in March 2021, the SAFE announced that the quota limits for qualified Foreign Institutional investors (QFII) and RMB Qualified Foreign Institutional investors (RQFII) would be completely abolished to provide more convenience for foreign investors to participate in China's financial market.
- Innovative products in the foreign exchange market continue to be launched
 - China's foreign exchange market continues to launch innovative products, for example, in 2021, the People's Bank of China issued a pilot RMB digital currency, which further promotes the digital transformation of China's financial market.